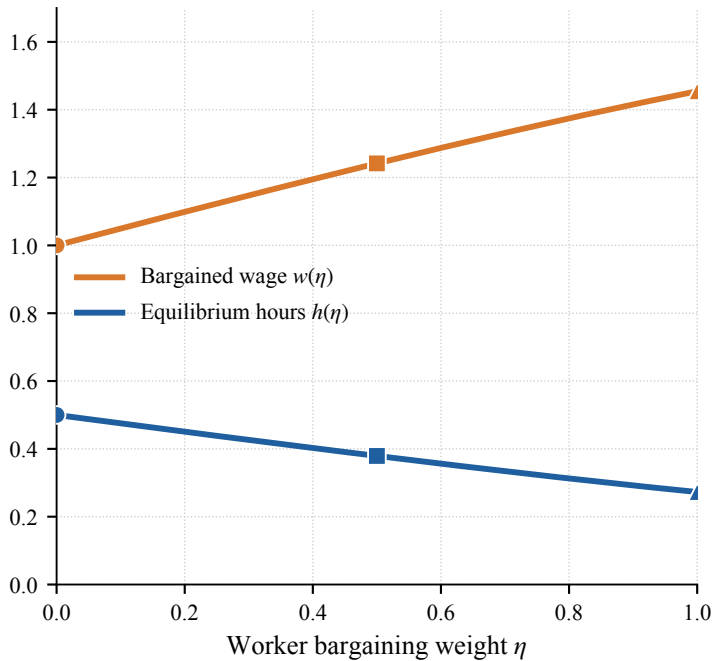
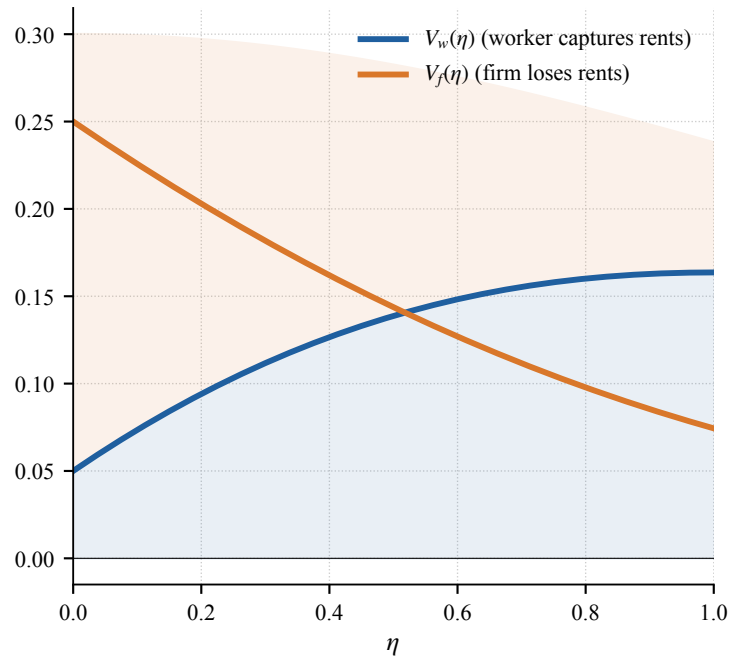


(a) Mechanism: $w \uparrow, h \downarrow$ along labour demand



(b) Distribution: firm-to-worker transfer of rents



(c) Welfare verdict is criterion-dependent: $\eta^* \approx 0.58$ at $\lambda = 0.30$

